UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2011/2012

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 10 SEPTEMBER 2011 TIME: 9.00AM – 12.00NOON (3 HOURS)

BACHELOR OF FINANCE (HONS)
BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) You are currently working as an analyst in the Finance Department of Marcheda Berhad, a leading manufacturer of electronic surveillance systems in Malaysia. These systems will then be installed at clients' premises all over Malaysia. Your company has currently contracted to purchase high-tech electronic chips with a total worth of $7,500,000 from Dempsey Corporation, a leading U.S. electronic chips manufacturer. Two months credit is allowed to your company before payment is due. Your company currently has no cash surplus and its debt-to-equity ratio of 55% is still below the optimal capital structure (benchmarked to industry average). Weighted average cost of capital of your company is 12.8%.

Assume the following rates are available in foreign exchange markets and money markets.

Spot exchange rate	RM3.3900/$ – RM3.4080/$
30-day forward rate	30 – 35
60-day forward rate	230 – 250
90-day forward rate	630 – 670
30-day RM interest rate	6.10% – 6.50%
60-day RM interest rate	6.30% – 6.60%
90-day RM interest rate	6.45% – 6.80%
30-day Dollar interest rate	3.50% – 3.75%
60-day Dollar interest rate	3.80% – 4.00%
90-day Dollar interest rate	3.90% – 4.20%

In addition, your company has sought the service from Rossi Consulting to forecast possible future spot rate at the end of two months. Rossi Consulting has presented to you the following probability distribution of future spot rate.

Probability	Future Spot Rate
25%	RM3.3800/$
35%	RM3.4500/$
40%	RM3.5200/$

Your boss, Mr. Piya Hardi, Chief Finance Officer of Marcheda Berhad, has instructed you to:

(i) Calculate the total payment in RM if your company implements forward market hedge. (4 marks)

(ii) Calculate the total payment in RM if your company implements money market hedge. (11 marks)

(iii) Compare between the two contractual hedging techniques in part (i) and (ii) above, recommend the best hedging alternative for your company. Explain. (2 marks)

Section A Q1. (a) (continued)

(iv) Calculate three possible real cost of hedging in RM for your company. Subsequently, calculate the expected real cost of hedging. (10 marks)

(v) Based on the expected real cost of hedging in part (iv) above, recommend whether your company should proceed with the contractual hedge in part (iii) or remained unhedged. (2 marks)

(b) Explain what is meant by 'restructuring to reduce economic exposure of a company'. If a Malaysian multinational company has future cash inflows of £63 million and future cash outflows of £16 million periodically, recommend **FOUR (4)** possible ways of restructuring to reduce its economic exposure.

(11 marks)

[Total: 40 marks]

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) Why does a floating exchange rate system not always correct a country's current account deficit? (8 marks)

(b) Explain how each of the following host country's characteristics would affect a multinational corporation (MNC) capital structure decision for its foreign subsidiary.

(i) Higher corporation tax rates in host country. (3 marks)

(ii) Higher degree of country risk in host country. (3 marks)

(iii) Host country's currency is expected to strengthen in the future. (3 marks)

(c) Rohidan Berhad, a Malaysian multinational firm that manufactures and sells rubber gloves and shoes, has wholly-owned foreign subsidiaries, Costa Pte Ltd located in Rio de Janeiro (Brazil) and Fabio Pte Ltd located in Lisbon (Portugal). Rohidan Berhad is listed in Consumer Product sector of Bursa Malaysia and currently has 60 million shares outstanding with a share price of RM23.66 per share. Profits before tax and tax rates for the parent company and each of its subsidiaries, and spot exchange rates between currencies, are given as follows:

	Rohidan	Costa	Fabio
Profits before tax	MYR 600 mil	BRL 55 mil	EUR 80 mil
Tax rate (%)	25%	10%	40%

Spot exchange rate between Ringgit and Real	MYR 3.0000/BRL
Spot exchange rate between Ringgit and Euro	MYR 4.4800/EUR

(i) Compute global tax payments in Ringgit, global effective tax rate and earnings per share of Rohidan Berhad. (Note: Present your computations in tabular format) (9 marks)

(ii) Given that Fabio Pte Ltd has intra-company purchases from Costa Pte Ltd, what should the Finance Director do in order to minimise global effective tax rate of Rohidan Berhad? Explain. (4 marks)

[Total: 30 marks]

Section B (continued)

Q2. (a) Sakura Kitchen, a Malaysian firm, is considering selling its line of coin-operated "nasi lemak" machines in the United Kingdom. The business risk will be identical to its existing line of business in Malaysia, where its weighted average cost of capital is 12%. The expected inflation rates over the next three years are 3% per annum in the U.K. and 5% per annum in Malaysia. Current spot exchange rates are RM2.9900/$ and $1.2600/£. The £-denominated free cash flows generated over the next three years are as follows:

Year	Free Cash Flows
0	–£500,000
1	£280,000
2	£330,000
3	£90,000

After three years, the market for coin-operated "nasi lemak" vending is expected to be saturated and no more free cash flows will be generated from the U.K.

What is the RM-denominated net present value (NPV) for this project? Should this project be accepted? (Note: Do not use foreign currency cost of capital method) (12 marks)

(b) Red Warriors Berhad has accounts receivable of $2,250,000 due in three months. Currently the company has surplus cash being invested in RM denominated money market instruments. It has a weighted average cost of capital of 18%.

A 3-month call options on RM with an exercise price of RM3.0000/$ has a 4% premium, while a 3-month put options on RM with an exercise price of RM3.0000/$ has a 2.8% premium. 3-month money market rates are 5% – 6% in the U.S. and 3% – 4% in Malaysia. Current spot exchange rate is RM2.9980$.

Given the above information, compute the amount of RM receipts if Red Warriors Berhad implements options market hedge and the spot exchange rate turned out to be RM3.1300/$ at the end of three months. (9 marks)

(c) What are the **THREE (3)** advantages of serving a foreign market through a cross-border acquisition compared to a greenfield investment? (6 marks)

(d) Why do you think the host country tends to resist cross-border acquisitions, rather than greenfield investments? (3 marks)

[Total: 30 marks]

Section B (continued)

Q3. (a) Forest Company produces goods in the U.S., Germany and Australia, and sells the goods in the areas where they are produced. Foreign earnings are periodically remitted to the U.S. parent. As the euro's interest rates have declined to a very low level, Forest Company has decided to finance its German operations with borrowed funds in place of the parent's equity investment. Forest Company will transfer the U.S. parent's equity investment in the German subsidiary over to its Australian subsidiary. These funds will then be used to pay off a floating-rate loan, as Australian interest rates have been high and are rising. Explain the expected effects of these actions on the consolidated capital structure and cost of capital of Forest Company. Given the strategy to be used by Forest Company, explain how its exposure to exchange rate risk may have changed for each of its German and Australian operations. (10 marks)

(b) Bradley Corporation commonly finances some of its U.S. expansion by borrowing foreign currencies (such as Japanese yen) that have low interest rates. Describe how the potential return and risk of this strategy may have changed after the September 11 terrorist attack on the U.S. (6 marks)

(c) Analysts commonly attribute the appreciation of a currency to expectations that economic conditions will strengthen. However, some economists argue that when other factors are held constant, increased national income could increase imports and cause the local currency to weaken. In reality, other factors are not constant. What other factor is likely to be affected by increased economic growth and could place upward pressure on the value of the local currency? (5 marks)

(d) Assume there are three countries: Country Q, Country R and Country S. Country Q and Country R have similar endowment of resources and produce similar products for exports. Country Q has decided to pegged its currency vis-à-vis currency of Country S, but allowed its currency to float freely against currency of Country R. Country Q is currently running a trade deficit, while Country R is running a trade surplus.

If Country S is undergoing continuous economic recession and rising rate of unemployment, which of the two countries, Country Q or Country R, will be more protected from the economic problem originated in Country S? Explain. (9 marks)

[Total: 30 marks]